

REC Ltd (RECLTD)

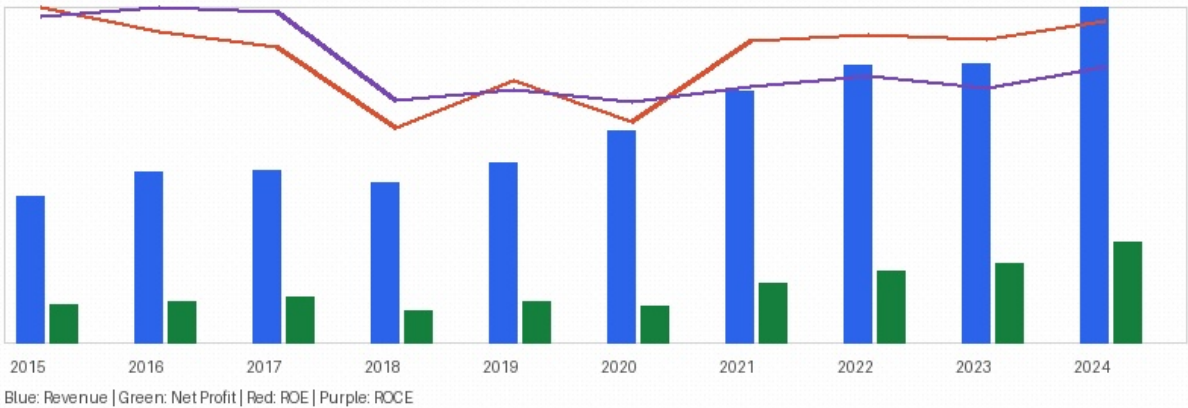
ROE 20.40%	ROCE 9.31%	NPM 29.77%
D/E 6.42	Revenue CAGR 13.34%	FCF -59,554.00

Sector: Financial Services | **Sub-sector:** Financial Services

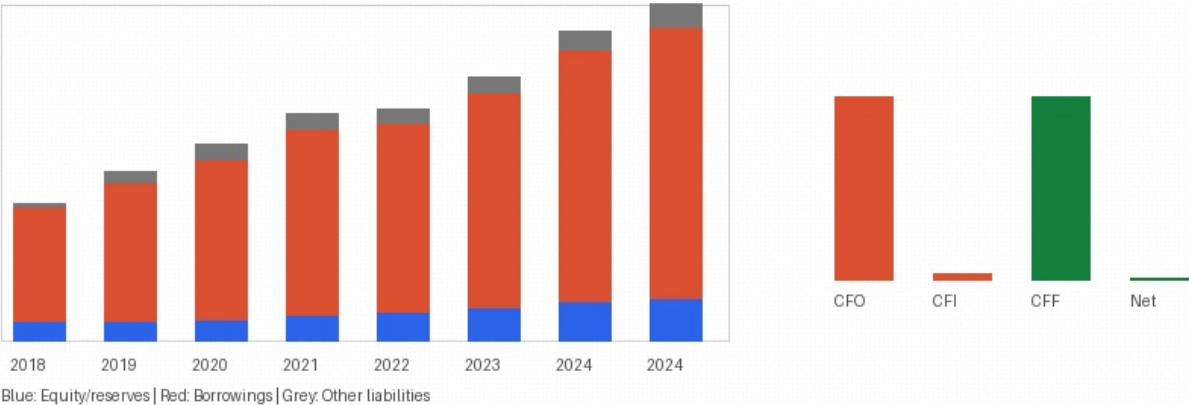
SIMULATED: stock_prices and market_cap datasets are simulated where used for valuation or price context.

REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Operating profit margin above 25% indicates strong pricing power and cost discipline	Debt-to-equity ratio of 6.42 is elevated for a non-financial company and warrants monitoring
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding	Free cash flow negative for 3 consecutive years raises concern about cash generation quality
Revenue growing slower than profits shows improving operating leverage and scale benefits	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt